

Industry ▾

952 Franchisors

952 Franchisors

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Area Franchise	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Contract	Added	Maintenance Update 2017-09 	05/30/2017
	Customer	Added	Maintenance Update 2017-09 	05/30/2017
	Franchise Agreement	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	952-10-05-1	Amended	Maintenance Update 2017-09 	05/30/2017
	952-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	952-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	952-10-10-1	Amended	Maintenance Update 2017-09 	05/30/2017
	952-10-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	952-10-25-1	Added	Maintenance Update 2017-09 	05/30/2017
	952-10-25-2	Added	Maintenance Update 2017-09 	05/30/2017
	952-10-45-1	Added	Maintenance Update 2017-09 	05/30/2017
	952-10-50-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
	952-10-50-2	Added	Maintenance Update 2017-09 	05/30/2017
	952-10-60-3	Added	Accounting Standards Update No. 2009-17	12/23/2009

05 Overview and Background

- General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

952-10-05-1 The Franchisors Topic provides incremental accounting and reporting standards for franchisors.

952-10-05-2 The Franchisors Topic includes the following Subtopics:

- a. Overall
- b. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- c. [Subparagraph superseded by Maintenance Update No. 2017-09.](#)
- d. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- e. [Subparagraph superseded by Maintenance Update No. 2017-09.](#)
- f. Consolidations.

10 Objectives

- General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

952-10-10-1 The objective of this Topic is to provide incremental accounting and reporting standards for [franchisors](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

952-10-15-1 The Subtopics within the Franchisors Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Franchisors Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

952-10-15-2 The guidance in this Subtopic applies to all entities that meet the definition of [franchisor](#), that is, the party that grants business rights (the franchise) to the party (the [franchisee](#)) that will operate the franchised business.

> Transactions

952-10-15-3 The guidance in this Topic applies to the following:

- a. [Subparagraph superseded by Accounting Standards Update No. 2014-09](#).
- b. Costs associated with franchising activities
- c. Transactions between the franchisor and franchisee.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Continuing Franchise Fees

Consideration for the continuing rights granted by the franchise agreement and for general or specific services during its life.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Franchisee

The party who has been granted business rights (the franchise) to operate the franchised business.

Franchisor

The party who grants business rights (the franchise) to the party (the franchisee) who will operate the franchised business.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Costs

952-10-25-1 Costs relating to [continuing franchise fees](#) shall be expensed as incurred.

952-10-25-2 Indirect costs of a regular and recurring nature that are incurred irrespective of the level of sales, such as general, selling, and administrative costs, shall be expensed as incurred. For guidance on accounting for the incremental costs of obtaining a [contract](#) with a [customer](#), see Subtopic [340-40](#).

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

952-10-45-1 Costs related to [franchisor](#)-owned outlets shall be distinguished from costs related to franchised outlets when practicable. That may be done by segregating costs related to franchised outlets.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

952-10-50-1 If there are significant changes in [franchisor](#)-owned outlets or franchised outlets during the period, the number of the following shall be disclosed:

- Franchises sold
- Franchises purchased during the period
- Franchised outlets in operation
- Franchisor-owned outlets in operation.

- 952-10-50-2** The nature of all significant commitments and obligations resulting from franchise agreements, including a description of the services that the [franchisor](#) has agreed to provide for agreements that have not yet been substantially performed, shall be disclosed.

60 Relationships

i General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Presentation of Financial Statements

- 952-10-60-1** For illustrations of [franchisor](#) reporting of discontinued operations, see paragraphs [205-20-55-83](#) through [55-103](#).

> Entertainment—Cable Television

- 952-10-60-2** For guidance on accounting for franchise costs related to cable television entities, see paragraphs [922-350-25-3](#); [922-350-35-4](#); and [922-720-25-4](#).

> Consolidation

- 952-10-60-3** For guidance on consolidation requirements applicable to a franchisor related to an entity that is the franchisee, see Subtopic [810-10](#).

952 Franchisors

340 Other Assets and Deferred Costs

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-340-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Franchisor	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	952-340-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	952-340-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	952-340-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

952-340-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

952-340-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

952-340-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-340-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-340-25-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952 Franchisors

440 Commitments

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-440-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Franchisor	Superseded	Maintenance Update 2017-09	05/30/2017
952-440-05-1	Superseded	Maintenance Update 2017-09	05/30/2017
952-440-15-1	Superseded	Maintenance Update 2017-09	05/30/2017
952-440-50-1	Superseded	Maintenance Update 2017-09	05/30/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

952-440-05-1

[Paragraph superseded by Maintenance Update 2017-09.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

952-440-15-1 [Paragraph superseded by Maintenance Update 2017-09.](#)

20 Glossary

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Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

952-440-50-1 [Paragraph superseded by Maintenance Update 2017-09.](#)

952 Franchisors

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Area Franchise	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Bargain Purchase	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Continuing Franchise Fees	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Franchise Agreement	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

Franchisee	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Franchisor	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Initial Franchise Fee	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Initial Services	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-25-1 through 25-17	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-35-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-40-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
952-605-50-1 through 50-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

952-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

952-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 952-605-25-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-3** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-4** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-5** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-6** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-7** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-8** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-9** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-10** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-11** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-12** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 952-605-25-13** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-605-25-14 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-605-25-15 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-605-25-16 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-605-25-17 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

952-605-35-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

952-605-40-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

45 Other Presentation Matters

- General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

952-605-45-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

- General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

952-605-50-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-605-50-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952-605-50-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

952 Franchisors

606 Revenue from Contracts with Customers

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-606-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2021-02	01/28/2021
Customer (1st def.)	Added	Accounting Standards Update No. 2021-02	01/28/2021
Franchise Agreement	Added	Accounting Standards Update No. 2021-02	01/28/2021
Franchisor	Added	Accounting Standards Update No. 2021-02	01/28/2021
Not-for-Profit Entity	Added	Accounting Standards Update No. 2021-02	01/28/2021
Performance Obligation	Added	Accounting Standards Update No. 2021-02	01/28/2021
Public Business Entity	Added	Accounting Standards Update No. 2021-02	01/28/2021
Security (2nd def.)	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-05-1	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-15-1	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-15-2	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-25-1 through 25-4	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-50-1	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-50-2	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-55-1 through 55-5	Added	Accounting Standards Update No. 2021-02	01/28/2021
952-606-65-1	Added	Accounting Standards Update No. 2021-02	01/28/2021

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 952-606-05-1** This Subtopic addresses a practical expedient for revenue recognition for a [franchisor](#) that is not a [public business entity](#).

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

- 952-606-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [952-10-15](#).
- 952-606-15-2** A [public business entity](#) shall not apply the guidance in this Subtopic. Entities that are not within the scope of this Subtopic shall not apply the guidance in this Subtopic directly or by analogy.

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Franchise Agreement

A written business agreement that meets the following principal criteria:

- a. The relation between the franchisor and franchisee is contractual, and an agreement, confirming the rights and responsibilities of each party, is in force for a specified period.
- b. The continuing relation has as its purpose the distribution of a product or service, or an entire business concept, within a particular market area.
- c. Both the franchisor and the franchisee contribute resources for establishing and maintaining the franchise. The franchisor's contribution may be a trademark, a company reputation, products, procedures, manpower, equipment, or a process. The franchisee usually contributes operating capital as well as the managerial and operational resources required for opening and continuing the franchised outlet.
- d. The franchise agreement outlines and describes the specific marketing practices to be followed, specifies the contribution of each party to the operation of the business, and sets forth certain operating procedures that both parties agree to comply with.
- e. The establishment of the franchised outlet creates a business entity that will, in most cases, require and support the full-time business activity of the franchisee. (There are numerous other contractual distribution arrangements in which a local businessperson becomes the authorized distributor or representative for the sale of a particular good or service, along with many others, but such a sale usually represents only a portion of the person's total business.)
- f. Both the franchisee and the franchisor have a common public identity. This identity is achieved most often through the use of common trade names or trademarks and is frequently reinforced through advertising programs designed to promote the recognition and acceptance of the common identity within the franchisee's market area.

The payment of an initial franchise fee or a continuing royalty fee is not a necessary criterion for an agreement to be considered a franchise agreement.

Franchisor

The party who grants business rights (the franchise) to the party (the franchisee) who will operate the franchised business.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Performance Obligation

A promise in a **contract** with a **customer** to transfer to the customer either:

- a. A good or service (or a bundle of goods or services) that is distinct
- b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a **not-for-profit entity** nor an employee benefit plan is a business entity.

- a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).
- b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.
- c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.
- d. It has issued, or is a conduit bond obligor for, **securities** that are traded, listed, or quoted on an exchange or an over-the-counter market.
- e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium

for investment.

c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

952-606-25-1 Revenue shall be recognized in accordance with Topic [606](#), Revenue from Contracts with Customers.

952-606-25-2 As a practical expedient, when applying the guidance in Topic [606](#), a [franchisor](#) that enters into a [franchise agreement](#) may account for the following pre-opening services as distinct from the franchise license:

- a. Assistance in the selection of a site
- b. Assistance in obtaining facilities and preparing the facilities for their intended use, including related financing, architectural, and engineering services, and lease negotiation
- c. Training of the franchisee's personnel or the franchisee
- d. Preparation and distribution of manuals and similar material concerning operations, administration, and record keeping
- e. Bookkeeping, information technology, and advisory services, including setting up the franchisee's records and advising the franchisee about income, real estate, and other taxes or about regulations affecting the franchisee's business
- f. Inspection, testing, and other quality control programs.

952-606-25-3 A franchisor that elects the practical expedient in paragraph [952-606-25-2](#) shall apply the guidance in paragraphs [606-10-25-19 through 25-22](#) to determine whether the pre-opening services are distinct from one another unless it makes an accounting policy election to account for the pre-opening services as a single [performance obligation](#).

952-606-25-4 The practical expedient in paragraph [952-606-25-2](#) applies only to identifying performance obligations. An entity shall apply this guidance consistently to contracts with similar characteristics and in similar circumstances. An entity should see Topic [606](#) for guidance on the remaining aspects of recognizing revenue from contracts with customers, including allocating the transaction price and recognizing revenue. If an entity elects not to apply the practical expedient or if the services performed are not consistent with the list in paragraph [952-606-25-2](#), the entity shall apply the guidance in Topic [606](#) on identifying performance obligations.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

952-606-50-1 If an entity elects to use the practical expedient in paragraph [952-606-25-2](#), the entity shall disclose that fact.

952-606-50-2 An entity that makes the accounting policy election to recognize pre-opening services as a single performance obligation as described in paragraph [952-606-25-3](#) shall disclose that fact.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1—Identifying Performance Obligations

952-606-55-1 An entity enters into a [contract](#) with a [customer](#) and promises to grant a franchise license to open a restaurant location. The franchise license term is 10 years. In addition to the license, the entity also promises to provide two services related to the opening of the franchise location—site selection and training. The entity receives a fixed fee of \$25,000, as well as a sales-based royalty of 5 percent of the customer's sales for the term of the license. The fixed consideration of \$25,000 is payable on or before the opening of the restaurant location.

952-606-55-2 The entity first assesses whether it is eligible for the practical expedient for identifying [performance obligations](#) in paragraph [952-606-25-2](#). The entity determines that it is eligible because it is not a

public business entity, it is a franchisor that is within the scope of Topic 952, and it has entered into a franchise agreement with a customer.

- 952-606-55-3** In applying the practical expedient, the entity compares its pre-opening services (training and site selection) to the list of services in paragraph 952-606-25-2 instead of applying the guidance in paragraph 606-10-25-19. The entity determines that those services may be accounted for as distinct from the franchise license because they are consistent with the list of services in paragraph 952-606-25-2. The entity makes an accounting policy election to account for all pre-opening services that are consistent with the list in paragraph 952-606-25-2 as a single performance obligation. Therefore, the entity determines that it has two performance obligations—a franchise license and pre-opening services.
- 952-606-55-4** The entity then applies the guidance in paragraphs 606-10-32-28 through 32-45 to allocate the transaction price to the performance obligations and the guidance in paragraphs 606-10-25-23 through 25-37 and 606-10-55-65 through 55-65B to determine when and how to recognize revenue for satisfaction of the performance obligations.
- 952-606-55-5** The entity discloses its use of the practical expedient and its accounting policy election to treat the pre-opening services as a single performance obligation in accordance with the disclosure requirements in paragraphs 952-606-50-1 through 50-2.

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

- 952-606-65-1** Paragraph superseded on 12/14/2022 after the end of the transition period stated in Accounting Standards Update No. 2021-02, *Franchisors—Revenue from Contracts with Customers (Subtopic 952-606): Practical Expedient*.

952 Franchisors 720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-720-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Continuing Franchise Fees	Superseded	Maintenance Update 2017-09	05/30/2017
Contract	Superseded	Maintenance Update 2017-09	05/30/2017
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Customer	Superseded	Maintenance Update 2017-09	05/30/2017
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Franchisor	Superseded	Maintenance Update 2017-09	05/30/2017
952-720-05-1	Superseded	Maintenance Update 2017-09	05/30/2017
952-720-15-1	Superseded	Maintenance Update 2017-09	05/30/2017
952-720-25-1	Superseded	Maintenance Update 2017-09	05/30/2017
952-720-25-2	Superseded	Maintenance Update 2017-09	05/30/2017
952-720-25-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
952-720-45-1	Superseded	Maintenance Update 2017-09	05/30/2017
952-720-45-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
952-720-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

952-720-05-1 [Paragraph superseded by Maintenance Update 2017-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

952-720-15-1 [Paragraph superseded by Maintenance Update 2017-09.](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- i Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

952-720-25-1 [Paragraph superseded by Maintenance Update 2017-09.](#)

952-720-25-2 [Paragraph superseded by Maintenance Update 2017-09.](#)

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

952-720-45-1 [Paragraph superseded by Maintenance Update 2017-09.](#)

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

952-720-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

952 Franchisors
810 Consolidation
00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

952-810-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Subtopic 952-810	Superseded	Accounting Standards Update No. 2009-17	12/23/2009

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

952-810-05-1 [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

952-810-15-1 [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)

55 Implementation Guidance and Illustrations

- i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

- 952-810-55-1** [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)
- 952-810-55-2** [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)
- 952-810-55-3** [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)
- 952-810-55-4** [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)
- 952-810-55-5** [Paragraph superseded by Accounting Standards Update No. 2009-17.](#)